2.2 Paying for War

Raising money to fight a war is difficult. In 1861, the federal government implemented several financial strategies to support the war effort. The Confederate government struggled with hard economic realities as it tried to do the same.

MAIN IDEA During the Civil War, both the North and the South had to devise new methods of funding their war efforts.

FINANCIAL STRATEGIES

War is incredibly expensive. Even though the Union and the Confederacy were both rich by any international standard, neither had ever supported a large army. Thousands of soldiers needed food, shelter, transportation, uniforms, weapons, ammunition, medical care, and a host of other supplies. As the costs increased, leaders on both sides discovered they had only a few choices: loans, new taxes, and the creation of paper money.

In the North, the federal government issued $2 billion worth of treasury **bonds**. Bonds are certificates offered for sale to the public with the promise that the government will pay the money back at a later date, usually with interest. In August 1861, Congress passed the first federal income tax in U.S. history. This law required citizens who earned more than $600 per year to pay a portion of their income to the government to fund the war.

In 1862, Congress passed the **Legal Tender Act**, an act that replaced currencies of individual banks with one national currency. Because the back of the money was colored green, the national notes were soon called "greenbacks." The Union issued $450 million in greenbacks during the war.

The sudden increase in money in the North had unexpected negative consequences. Greedy manufacturers took advantage of federal funds and urgent demand to produce poorly made and even defective goods. Uniforms sometimes fell apart in the first rain or had no buttons. Some shoemakers produced boots with soles made of cardboard. Not surprisingly, these boots didn't last on long marches. Some suppliers mixed sawdust in with the gunpowder that filled artillery shells. Dishonest businessmen profited from supplying Union troops with spoiled meat. A new word was invented to describe defective war material: *shoddy*.

PRINTING MONEY, SEIZING CROPS

As you have read, the North had a distinct industrial advantage over the agrarian South. It also had the support of the federal government. The South's lack of an industrial base and a strong government made it difficult for the Confederacy to raise funds to pay for war. It tried to borrow money from Britain and France, and it raised taxes to meet expenses. The Confederacy also printed money, but unlike in the North, this strategy resulted in severe inflation: prices for goods increased and the purchasing value of money decreased. The Confederate government also issued war bonds, but most southerners were too poor to buy them. Those wealthy enough to afford bonds soon discovered that inflation was rising faster than the rate of interest on their bonds.

In 1863, the Confederacy passed a law requiring all farmers to give 10 percent of all the crops they raised to the government for use in the war effort. In addition, Confederate citizens were subjected to impressment, a practice that allowed military officers to take anything they thought might be useful to the war effort, including slaves.

Thousands of African Americans were forced to leave their families to perform forced labor for the Confederate military. Many of them rebelled and escaped to the Union lines where they offered their

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A GLOBAL PERSPECTIVE No matter when or where they are fought, civil wars have devastating consequences for ordinary people. Financial resources of nations are diverted away from supporting citizens in order to pay for war. Young men, and sometimes boys, are forced into military service. Day-to-day lives are disrupted, people are displaced from their homes and countries, and economies are damaged. These characteristics all apply to the civil war that took place after the African country of South Sudan achieved independence in 2011.

During that civil war, government spending on weapons took priority over other responsibilities, thousands of people were killed, and more than 1 million people fled the country. The military limited the movements of those who remained, which meant farmers could not plant crops, trade harvests, or tend livestock. The result was massive starvation and famine by 2016. How might the experience of South Sudanese like the young man shown below be similar to what families in the United States experienced during the Civil War?



Lynsey Addario is a National Geographic conflict photographer who documents the human impact of war, drought, and violence. She photographed Lat Padang, a young soldier, while he was recovering from injuries sustained during South Sudan's civil war.

labor to the Union. Southern farms and plantations no longer had the labor necessary to grow food and cash crops.

Meanwhile, many southerners watched helplessly as armies stripped their farms of food and livestock. Some farmers grew cotton because it stored well and they thought it would fetch a high price after the war. As a result, the Confederacy devoted land and labor to growing cotton instead of growing food for its hungry citizens.

HISTORICAL THINKING

1. **READING CHECK** What methods did the North and the South use to raise money for the war?
2. **DESCRIBE** In what ways were civilians in the North and the South affected by the war?
3. **COMPARE AND CONTRAST** In terms of its economy and government, what advantages did the North have over the South?

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